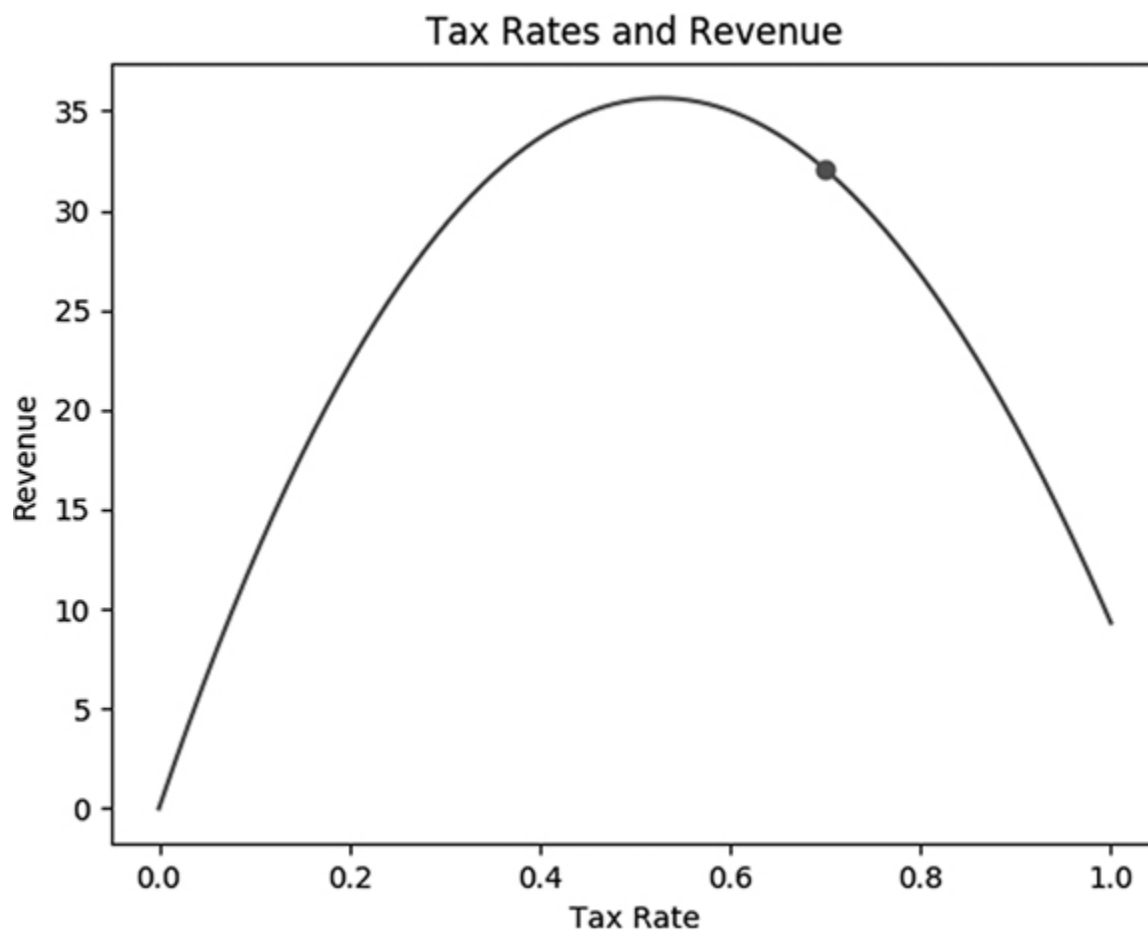




[Figure 3-1](#): The relationship between tax rates and revenue, with a dot representing your country's current situation

Your country's current tax rate, according to the economists' formula, is not quite maximizing the government's revenue. Although a simple visual inspection of the plot will indicate approximately what level corresponds to the maximum revenue, you are not satisfied with loose approximations and you want to find a more precise figure for the optimal tax rate. It's apparent from the plot of the curve that any increase from the current 70 percent rate should decrease total revenues, and some amount of decrease from the current 70 percent rate should increase total revenues, so in this situation, revenue maximization will require a decrease in the overall tax rate.

We can verify whether this is true more formally by taking the derivative of the economists' revenue formula. A *derivative* is a measurement of the slope of a tangent line, with large values denoting steepness and negative values denoting downward motion. You can see an illustration of a